
POLICY

All Programs

If a household receives benefits, and the department makes an error, the adult(s) in the household **must** repay the extra benefits they are not eligible for. The benefits must be repaid even if there was no fraud.

This item explains agency error (AE) processing and establishment.

DEFINITION

Agency Error

A type of overpayment (OP) or underissuance resulting from an incorrect action or failure to take action by the state agency.

Examples include, but not limited to:

- Available information was not used or used incorrectly.
- Policy was misapplied.
- Action by local office or central office staff was delayed.
- Computer/system error occurred.
- Information was not shared between department divisions, for example, services staff.
- Data match reports were not timely acted on (Wage Match, New Hire, BENDEX, etc.).

Note: If unable to identify the type of overpayment, process as an agency error.

Child Development and Care (CDC) Only

There could be agency errors for providers and/or clients/individuals. The following are some typical agency errors. Use this non-all-encompassing list to help determine who is held responsible for the repayment of the overpayment.

Agency Errors Related to the Provider

- Provider not eligible.
- Payments authorized under wrong provider eligibility type.

**AGENCY ERROR
PROGRAM
EXCEPTIONS****Agency Errors Related to the Client/Individual**

- Family Contribution is wrong.
- Child not eligible.
- Child birthdate is incorrect, causing a higher agency maximum rate.

Family Independence Program (FIP), State Disability Assistance (SDA), Refugee Cash Assistance (RCA), and Food Assistance Program (FAP)

Recover a system generated supplement when incorrectly issued by Bridges and the supplement amount is above the overpayment threshold.

Example: Client/individual was issued FAP benefits in the amount of \$930 on 05-03-2023. The case was updated, eligibility ran and certified on 03-12-2024. Bridges incorrectly recertified the 05-2023 FAP EDG issuing the client/individual a supplement in the amount of \$930. Establish an overpayment claim for the system generated supplement of \$930.

FIP, SDA, and RCA Only

Treat an overpayment due to excess assets as an agency error **unless** caused by intentional program violation (IPV).

Prudent judgement should be used in evaluating an overpayment for suspected IPV; see [Bridges Administrative Manual \(BAM\) 700](#) and [BAM 720](#) for referral criteria.

FIP Only

Do **not** recover children's clothing allowance funds that were issued due to an incorrect FIP eligibility determination; see [BAM 405](#).

FAP Only

Do **not** recover overpayments caused by the following agency errors:

- The group was certified in the wrong county.
- The local office failed to have the FAP group sign the application form.

Simplified Reporting (SR) does **not** affect the determination of agency error overpayments; see [BAM 200](#).

The overpayment claims calculation **cannot** include the 15 percent benefit increase issued during the months of January 2021 through June 2021 per the Consolidated Appropriations Act of 2021.

The overpayment claims calculation **cannot** include the 15 percent benefit increase issued during the months of July 2021 through September 2021 per the American Rescue Plan Act of 2021.

Do **not** recover replacement benefits; see [BAM 502](#).

Medicaid (MA) and Employment Support Services (ESS)

Overpayment of agency errors is not pursued.

State Emergency Relief (SER)

For SER follow [Emergency Relief Manual \(ERM\) 306](#) and [ERM 404](#) for benefit recovery.

CDC Only

For clients/individuals processed under CDC Expedited Service, [BAM 118](#), benefits issued for childcare services provided during the presumptive eligibility period will not be considered an overpayment, regardless of whether the ongoing eligibility determination is approved or denied.

OVERPAYMENT PERIOD

FIP, SDA, RCA, CDC and FAP

The overpayment (OP) period for agency errors can be for no more than the latest 12 months.

Example: A potential agency error was assigned to an Overpayment Establishment Analyst (OEA) for the period of March 2019 through December 2020. The latest 12 months an OEA can look at to discover an overpayment is January 2020 through December 2020.

This 12 month or less period cannot include any months that occurred more than six years before the overpayment discovery date per 7 CFR 273.18(c)(1)(i).

Example: A potential agency error was assigned to an OEA for the period of January 2015 through July 2016. The OEA discovers an overpayment in February 2022 for the months of March 2016 through July 2016. The OEA only pursued the latest five months because the months of January 2015 through February 2016 occurred more than six years before the discovered overpayment.

To determine the first month (or first pay period for CDC) of the overpayment period, allow time for:

- The client/individual reporting period per [BAM 105](#) and
- The full standard of promptness (SOP) for change processing per [BAM 220](#) and
- The full negative action suspense period per [BAM 220](#).

Exception: When an agency error occurs at application, redetermination, semi-annual, or mid-certification, allow the SOP for change processing per [BAM 220](#) and the full negative action suspense period per [BAM 220](#) when determining the first month (or first pay period for CDC) of the overpayment. The client/individual already reported their information on these forms per [BAM 105](#).

Example: Client/individual applies for FAP and FIP on 08-29-2023 for a group size of three. Head of household (HOH) reports Supplemental Security Income (SSI) income of \$800, \$400 rent, and heat and utility expenses. Department failed to budget the SSI income. First month of the **overpayment period for FAP** is determined as follows:

- HOH reporting period is date of application - 08-29-2023.
- Ten days for change processing - 09-08-2023.
- Twelve-day negative action suspense period - 09-20-2023.
- First month of OP is 10-2023.

Using the **example** above, the first month of the **overpayment period for FIP** is determined as follows:

- HOH reporting period is date of application - 08-29-2023.
- Fifteen workdays for change processing - 09-20-2023 (09-04-2023 was the state observed holiday of Labor Day).
- Twelve-day negative action suspense period - 10-02-2023.
- First month of OP is 11-2023.

The overpayment period ends the month (or pay period for CDC) before the benefit is corrected or month of program closure.

OVERPAYMENT AMOUNT

FIP, SDA, RCA, CDC and FAP

The amount of benefits issued to the client/individual, household, or provider in excess of what the recipient(s) was/were eligible to receive.

FAP Only

If the agency error involves **two or more FAP groups** which should have received benefits as one group, determine the error amount by the following:

- Add together all the benefits received by each group, **and**
- Subtract the correct benefits for the one combined group.

OVERPAYMENT CALCULATION

Benefits Received

FIP, SDA, RCA, and CDC

The amount of benefits received in an overpayment calculation include:

- Regular warrants.
- Supplemental warrants (use for the month for which it was intended).
- Duplicate warrants.
- Vendor payments.
- Benefit Withholding (BW) deductions.
- Electronic Benefit Transfer (EBT) cash issuances.
- Electronic Funds Transfer (EFT) payments.

- Replacement warrants (use for the month of the original warrant).

Do **not** include:

- Warrants that have not been cashed.
- Escheated EBT cash benefits.

Warrant history is obtained from Bridges under *Benefit Issuance*.

FAP Only

The amount of FAP benefits received in the calculation is the **gross** (before benefit withholding deductions) amount **issued** for the benefit month. FAP issuance history is obtained from Bridges under *Benefit Issuance*.

If the FAP budgetable income included FIP/SDA/RCA benefits, use the grant amount actually received in the overpayment month, even when the FIP/SDA/RCA benefit is being recovered.

A supplement is counted in the month for which it was intended.

Determining Budgetable Income

FIP, SDA, RCA, CDC and FAP

If improper budgeting of income caused the overpayment, use actual income for that income source and convert to a standard monthly amount; see [Bridges Eligibility Manual \(BEM\) 505](#).

Any income properly budgeted remains the same in the corrected budget month(s). This income was already converted within Bridges to a standard monthly amount.

Example: Mandatory program group members Joseph and Michelle both started working. Only Joseph's income was budgeted. For the corrected calculation, use actual income for Michelle and the projected income already budgeted correctly for Joseph.

Note: When verifying actual income, if an employer does not respond to or cannot provide the information or incompletely fills out the verification form, use the IG-011, Employee Wage History by Recipient ID, report as the best available information of income; see [BAM 130](#) and [BEM 505](#). Income is not converted from a wage

match or IG-011, Employee Wage History by Recipient ID, report. This is quarterly income and can be divided by three (or less based on available information) to a standard monthly amount.

OVERPAYMENT ADJUSTMENTS

Assigned Support

FIP Only

Subtract from the overpayment all or part of any net assigned **current** support collections (not arrears) retained by the state as follows:

- If the group was ineligible for FIP during the overpayment period, subtract the net **current** support collections retained.
- If the group was eligible for part of the FIP benefits issued, subtract the portion of the net **current** support collections retained in excess of what the group was eligible for.

Overpayment Adjustment Examples

Overpayment exists:

\$400 Monthly FIP benefit received by the group.
- \$300 Monthly FIP benefit group should have received.
\$100 One month OP.

Reducing the overpayment when paid support exceeds the FIP benefit:

\$375 Child support paid per Consolidated Inquiry (CI).
- \$50 Child support rebate sent to group.
\$325 Difference in child support.
- \$300 Actual monthly FIP benefit group was eligible for.
\$25 This amount is subtracted to reduce the OP amount from \$100 to \$75.

Do not reduce the overpayment when paid support does not exceed the FIP benefit:

- \$300 Child support paid per CI.
- \$50 Child support rebate sent to group.
- \$250 Difference in child support.
- \$300 Actual monthly FIP benefit group was eligible for.
- 0 Do not subtract anything from the overpayment amount; FIP benefit exceeds the difference in child support.

Exception: For **overpayment months prior to October 2011**, subtract \$50 from the reported amount before performing the calculations above.

**CLIENT/INDIVIDUAL
NOTIFICATION****FIP, SDA, RCA, CDC and FAP**

Unless recovering from the CDC provider, Bridges will notify the household of an agency error by sending the following:

- DHS-4358-A, Notice of Overissuance.
- DHS-4358-B, Overissuance Summary.
- DHS-4358-C, Department and Client Error Information and Repayment Agreement.
- DHS-4358-D, Hearing Request for Overissuance or Recoupment Action.

An explanation of the reason for overpayment, along with the manual items, must be filled in on the DHS-4358-A, Notice of Overissuance. This is done under *Correspondence, View Pending* in Bridges.

CDC Provider Only

The provider is not notified of an overpayment by an OEA. The CDC office in the Michigan Department of Lifelong Education, Advancement, and Potential (MiLEAP) will notify the provider and

initiate repayment. Send a copy of the issuance summary by ID-mail to:

MiLEAP
Child Development and Care
105 W. Allegan St. - 2nd Floor
PO Box 30267
Lansing, MI 48909
Attention: CDC Overpayment

INITIATE REPAYMENT

FIP, SDA, RCA, CDC and FAP

Bridges automatically starts the repayment process once an overpayment claim has been established. The client/individual is instructed to return the DHS-4358-C, Department and Client Error Information and Repayment Agreement, to the Collections Unit. If the signed repay is returned to an OEA, they must enter it in Bridges under *Benefit Recovery, Record Repayment Agreement*. The OEA must place the signed repayment agreement in the OI (Overissuance) tab of the Electronic Case File (ECF).

HEARING REQUESTED

FIP, SDA, RCA, CDC and FAP

A DHS-4358-D, Hearing Request for Overissuance or Recoupment Action, must be forwarded to the Michigan Office of Administrative Hearings and Rules (MOAHR) along with a completed DHS-3050, Hearing Summary, and exhibits in accordance with [BAM 600](#).

Update the overpayment claim status field under *Benefit Recovery, Claim Adjustment to Pending Administrative Hearing* from the drop-down.

Note: If a client/individual withdraws the hearing request or fails to show and the hearing is not rescheduled, update the overpayment claim status field under *Benefit Recovery, Claim Adjustment to Standard Recoupment* from the drop-down.

If Michigan Department of Health and Human Services (MDHHS) is **upheld**:

- Update the overpayment claim status field back to *Standard Recoupment* from the drop-down.

- Enter the date of the hearing decision under *Benefit Recovery, Claim Adjustment, Agreement Sign Date*.
- Send a Collection Notice to the client/individual as renotification of the overpayment claim.
- If warranted, update the *Delinquency Date* under *Benefit Recovery, Claim Adjustment* 31 days after the Collection Notice is sent. This is currently a manual process.

If MDHHS is **not upheld**:

- Act in accordance with the decision and order.
- Decrease the balance under *Benefit Recovery, Claim Adjustment* with *Hearing Decision* as the reason from the drop-down.

RESOURCES

FIP

Personal Responsibility and Work Opportunity Reconciliation Act of 1996, P.L. 104-193 of 1996, as amended
1939 PA 280, as amended (Social Welfare Act)
MCL 400.1 et seq.
MCL 400.60
Mich Admin Code, R 400.3129 - 400.3131

FAP

7 CFR 273.18
7 USC 2022
Mich Admin Code, R 400.3011
Consolidated Appropriations Act, 2021, P.L. 116-260
American Rescue Plan Act of 2021, P.L. 117-2

SDA

Annual Appropriations Act
Mich Admin Code, R 400.3151 - 400.3180

RCA

42 CFR 400.49

CDC

The Child Care and Development Block Grant (CCDBG) Act (42 USC § 9858 et seq.), as amended by the CCDBG Act of 2014 (Pub. L. 113-186)
45 CFR Parts 98 and 99
Social Security Act, as amended 2016

CONTACT

Policy-Recoupment@michigan.gov - Overpayment Policy.

MDHHS-OIG-OEA-Policy@michigan.gov - OIG OEA Policy.